Economic Growth

Chapter	8
Date	Weeks 9 and 10, Term 2
Objectives	• the concept, and measurement, of economic growth • the distinction between nominal gross domestic product (GDP), real GDP, and real GDP per capita • GDP as a measure of economic growth • determinants of economic growth • the costs and benefits of economic growth
Resources	Y11 Economic Growth.pptx

Consolidation

What is sustainable economic growth?

Sustainable economic growth means maintaining a rate of growth that can be sustained without creating significant economic problems for future generations

It is an increase in the economy's capacity to create goods and services over time

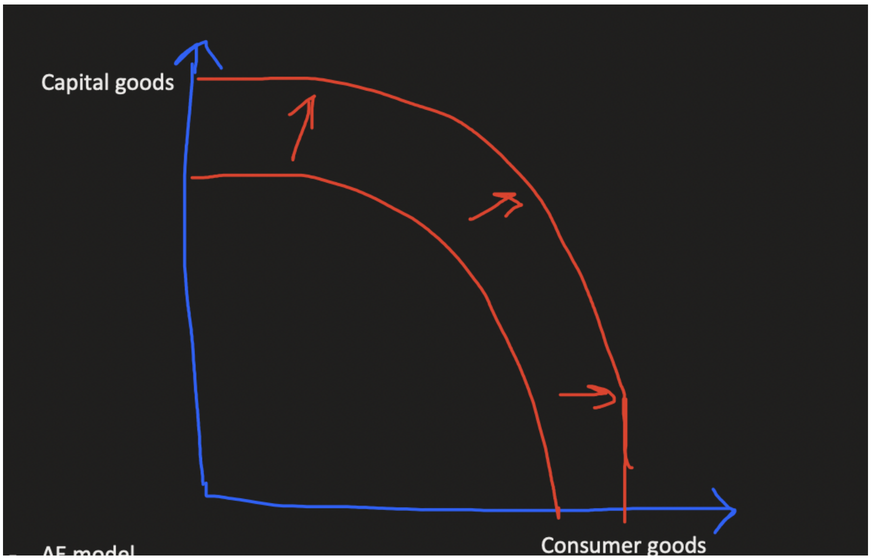
> The growing capacity for an economy to satisfy the needs and wants of society

The target is 3-4% growth p.a.

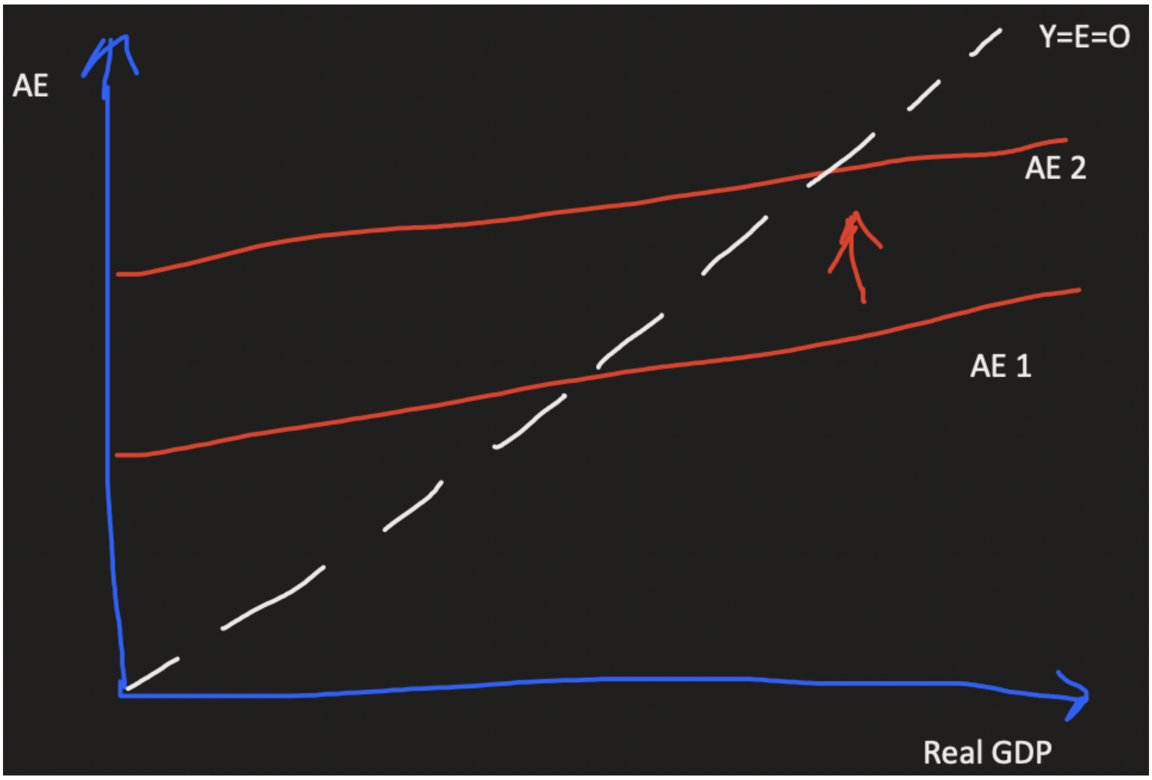
What models are used to represent economic growth?

The PPF: an outwards shift in the curve represents an increase in the potential for production

= economic growth



The AE model: an upwards shift in the AE curve = increase in economic growth



▼ **How do we measure economic growth?**

Economic growth rate is the rate of change in Gross Domestic Product (GDP)

Gross Domestic Product is the total market value of all finished goods and services produced in a country over a period of time

▼ What are the different types of GDP?

Nominal GDP

The value of output expressed in times of the day

Real GDP

The value of output after taking into account the fluxuating monetary prices in the market such as inflation

Real GDP per Capita

Average real GDP per person in a population

▼ What are the limitations of GDP?

True value of public and merit goods is largely unknown

The value of public libraries and education cannot be monetised

Does not take into account hidden and non-market economies

Such as cash transactions

Does not take into account non-material welfare

Such as satisfaction of life and welfare benefits

A country may have a high GDP but a low happiness

Does not take into account population size

As population rises, GDP and expenditure will naturally rise

So you could attribute a rise in GDP to population, not actual increase in production

Does not take into account international price differences

Currency conversions might not accurately reflect the value of foreign GDP

When you convert say Philippine dollars to USD to compare GDP, the purchasing power of the Philippine dollar may be much greater than the purchasing power of the US dollar. I.e. 1 USD buys more in the Philippines.

▼ Demand side source of economic growth

Its about an increase in the components of aggregate expenditure

Consumption

- Investment
- Government
- Net exports

▼ Supply side source of economic growth

- Its about increasing the efficiency of factors affecting production
    - Either increase in quality or quantity of supply

- Land
    - Increase in natural resource
- Labour
    - Skills such as education and technology
    - Population Growth
    - Migration
- Capital (investment and technology)
    - Increase in capital per worker
    - Increase in productivity
- Enterprise
    - Willingness to trade
    - Capacity for the economy to change

▼ What are the benefits of economic growth?

- Increase in levels of real income
    - People will spend more
- Increased business investment
    - More business confidence
    - More production
- Increased material standard of living
- Government can run a budget surplus and pay back debt
    - Can pay less on social welfare
    - Paying off debt makes it easier to borrow in the future

Its better to pay off what you owe quicker

Increased quantity of goods and services

Increasing full employement

More jobs and more income

▼ What are the costs of economic growth?

Structural unemployment

Companies are going to find better technology and better methods to be used in production = unemployment. Machinery over human work.

Demand pull inflation

Demand for goods and services increases rapidly. Instead of increasing production, firms simply increase prices across the market.

It's the general increase in prices due to rapid demand

Environmental degredation

Increased production leads to more use of resources and environmental loss

Such as forestry

Social dislocation → increased social problems

Especially happens if gains in income are directed to those with good income already. I.e.. CEOs will earn more money.

This leads to lower satisfaction in lower income levels and increased social issues

Income inequality

Same as social dislocation

▼ What are the alternative measures of economic growth?

Human Development Index

- The Human Development Index (HDI) is a summary measure of average achievement in key dimensions of human MCdevelopment: a long and healthy life, being knowledgeable and have a decent standard of living
- The health dimension is assessed by life expectancy at birth, the education dimension is measured by mean of years of schooling for

adults aged 25 years and more and expected years of schooling for children of school entering age. The standard of living dimension is measured by gross national income per capita. The HDI uses the logarithm of income, to reflect the diminishing importance of income with increasing GNI. The scores for the three HDI dimension indices are then aggregated into a composite index using geometric mean

- The HDI simplifies and captures only part of what human development entails. It does not reflect on inequalities, poverty, human security, empowerment, etc.

Social Progress Index

- Measures the extent to which countries provide for the social and environmental needs of their citizens. Fifty-four indicators in the areas of basic human needs, foundations of well-being, and opportunity to progress show the relative performance of nations.

OECD Better Life Index

- This Index allows you to compare well-being across countries, based on 11 topics the OECD has identified as essential, in the areas of material living conditions and quality of life.

Happy Planet Index

- The Happy Planet Index measures what matters: sustainable wellbeing for all. It tells us how well nations are doing at achieving long, happy, sustainable lives.

▼ **Explain the concept and measurement of economic growth.**

Economic growth can be defined as the maintaining of a sustainable rate of growth as to not cause significant problems for future generations. The government targets the sustainable economic growth rate at 3-4% per annum. Gross Domestic Product (GDP) is the main way economist measure economic growth as this displays the total monetary value of all final goods and services produced in an economy over a period of time. More specifically, economists use Real GDP which is the nominal GDP figure adjusted for inflation to reflect true economic growth.

▼ Describe the difference between the three measures of GDP

There are three main measures of Gross Domestic Product; nominal GDP, real GDP, and real GDP per capita.

Nominal GDP is the raw GDP figure, which is the monetary value of all the final goods and services produced in a country over a period of time. Nominal GDP does not take into account the value of inflation. Nominal GDP is often used to measure a country's GDP to debt ratio as debt is also a nominal value.

Real GDP is the nominal GDP figure adjusted for the value of inflation. Economists use this form as it removes the distorting inflation values from the total value of the final goods and services. This makes real GDP a more accurate measure of an economy's growth rate and size.

Real GDP per capita is the real GDP figure divided by the population size of that country to achieve the average level of national income per person adjusted for inflation. This indicator gives a rough estimate of the average living conditions in the country, although this measure doe not take into account the distribution of wealth. Real GDP per capita is also useful to make cross-country comparisons of average living standards, production and economic wellbeing.

▼ Outline the limitations of GDP as a measurement of economic growth

Gross Domestic Product (GDP) has limitations as a measurement of economic growth such as not taking into account the value of non-material goods, public and merit goods, and hidden markets.

Since GDP is the total monetary value of all final goods and services produced in an economy over a period of time, the true value of non-material goods such as well-being and life satisfaction are not taken into account. These non-material goods are integral to the health of an economy and especially its' people. Alternative measures such as the Happy Planet Index specialise in the measurement of non-material goods within an economy.

Furthermore, the value of public and merit goods are not accounted for in the GDP figures. The benefits given to society from public goods such as public libraries and street lights cannot be measured. The benefits of merit goods to society such as education also cannot be measured. Education, as we know, is a key factor affecting the health and growth of an economy, but its true benefits are impossible to quantify.

Lastly, the value of non-market transactions are not measured by GDP, which only accounts for final goods and services in the official market. These transactions include cash transactions and the value of unofficial labour such as housework and charity. The value of these goods cannot be quantified under the GDP measurement, although they are integral to the functioning of a healthy economy.

▼ **Explain the determinants of economic growth**

Economic growth can come from two primary sources; the supply side and the demand side.

The demand side of economic growth is stimulated by increases in aggregate expenditure. Aggregate expenditure is the total planned spending done by households, firm, governments and net exports on goods and services over a period of time. An increase in spending from any of these sectors leads to an increase in economic growth. This is because as we spend more, this signals to producers to increase prices and increase output in a bid to increase revenues. This drives inflation, an important indicator of economic growth, and drives employment within the economy, another indicator of economic growth rising. Increased production output can be seen in GDP figures rising which is the most common measure of the economic growth rate and economic activity.

The supply side of economic growth is stimulated by an increase in the quality and/or quantity of output from firms across the four factors of production; land, labour, capital and enterprise. This can be done with the addition of new technologies to access new natural resources, improve capital per worker, and improve productivity of existing capital. Entrepreneurs can become more willing to trade and change their way of production, all in a bid to improve the productive capacity of the firm. An increase in production output leads to economic growth.

▼ **Discuss the costs and benefits of economic growth**

There are many benefits to economic growth such as increased business investment, increased levels in income, increased employment and lower government debt. There are also some costs to economic growth such as environmental degradation, income inequality and structural unemployment.

As the economy grows businesses see greater revenues and greater productive output to support a growth in aggregate demand. Sustainable economic growth stimulates business confidence as they are more confident on returns, driving firms to invest into new production alternatives. This further increases production output but also supports employment within the economy. New capital needs new labour so firms chose to hire more workers, lowering the unemployment rate. Firms also chose to increase existing wages to lure in more valuable labour and reward existing labour. This leads to an increase in the overall level of income within the nation and an increased material standard of living. As incomes increase, governments are more inclined to increase taxes to capitalise this in order to pay for government spending. Governments will pay of their debt and run a budget surplus with more taxes, which means they need to pay less on social welfare and also makes it a lot easier to borrow in the future, which is very useful.

Conversely, economic growth leads to the degradation of the environment. This occurs as firms seek to increase their productive capacity by searching and acquiring new raw materials to be used. Moreover, as firms seek to maximise profits in periods of high economic growth, firms may chose to replace human labour with machinery in a bid to improve reliability and reduce long term costs. This leads to structural unemployment which is negative for the economy. Lastly, economic growth also leads to a poor distribution of wealth within the economy. Some firms may chose to exploit cheaper labour in a bid to maximise profits. This leads to income inequality and those already financially disadvantaged with less money and welfare while those with lots of money already, become even richer.